

Value Factors	Growth Factors
Price/projected earnings (50.0%)	Long-term projected earnings growth (50.0%)
Price/book (12.5%)	Historical earnings growth (12.5%)
Price/sales (12.5%)	Sales growth (12.5%)
Price/cash flow (12.5%)	Cash-flow growth (12.5%)
Dividend yield (12.5%)	Book value growth (12.5%)

Morningstar first calculates a company's value score, then its growth score, and finally its overall style score by subtracting the value score from the growth score. If the result is strongly positive, the company is classified as "growth." If the result is strongly negative, the company is classified as "value." If the value score minus the growth score is not sufficiently different from 0, the stock is classified as "blend."

Breakpoints for value, growth, and blend are set so that over a three-year rolling period, each style represents one-third of the investable universe within each capitalization class. That keeps a nearly equal number of stocks in each style box. Morningstar reconstitutes each index twice annually (adding or removing stocks). It also rebalances the indexes quarterly (adjusting constituent weights).

The 5,000+ in the Wilshire Composite Index falls roughly into the boxes illustrated in [Figure 6-2](#) based on Morningstar methodology. Each box contains the number of stocks in that particular box.

As of January 2010, the large-cap row holds 241 stocks, which represents only 5 percent of the Wilshire 5000 companies yet represents 70 percent of the free-float market value of the entire U.S. stock market. There were 578 midcap stocks that made up another 20 percent, and 784 small-cap stocks that accounted for 7 percent. The other 3,400+ microcap stocks are the remaining 3 percent.

FIGURE 6-2

Number of Stocks in the Morningstar Style Boxes